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Greater China Materials | Asia Pacific

Feedback from Aluminum Checks in Henan

We visited multiple aluminum processors and traders in Henan province to check on aluminum demand. Please see our trip feedback below.

Export demand is picking up with profit improving: Our talks with leading processing plants and traders involved in the export business indicate that export orders increased by ~30% MoM in April. One leading player indicates that export orders in May are up by 50% compared to that in March 2026. Processing plants that have sales volume 100% locked in long-term contracts noted that export profit increased by ~Rmb1,800/t in April compared to 1Q26, with volume up by 10% due to some pre-load orders resulting from tight supply overseas.

Aluminium twisted wire exports remain strong: We visited an aluminum twisted wire producer in Henan. The company's export volume increased ~200% MoM in April, and it currently has ~20kt export orders on hand. Processing fee is Rmb1,200/t excluding transportation costs. The wire producer we spoke to commented that if it implements the 13% VAT rebate, it will offer 10% discount on the aluminum price to the buyer. Twisted wire producers, especially those located in Hebei province, intend to expand capacity, but it might be slow as the machines take time to be delivered.

Domestic demand delayed but not disappeared; market share moving to leading players: Aluminum plate and strip capacity for a few leading players has increased 20-30% with orders staying relatively full. While smaller processing plants, especially those with notable exposure to the property market, noted weaker demand in May. This implies a more consolidated market and higher market share for leading players. One processing plant we met with mentioned 80-90% exposure to building materials and that orders declined by 20-30% in April and are staying roughly flattish MoM in May. Meanwhile, basically all the processing producers we met with commented that when aluminum price drops to ~Rmb23,500-24,300/t, pick up or shipment to downstream will increase.

Minimum safety inventory to ensure normal turnover to avoid the swing in aluminum price. In addition, there are a lot of warehouses in the Gongyi region. Aluminum ingot procurement is very convenient.

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Industry View		Attractive

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Continued...

Metals invoice crackdown affects near-term liquidity for aluminum: Our talk with a social inventory warehouse shows that in-warehouse trading volume is down by 60% MoM in May due to the invoice crackdown. Traders are also affected. This will have an impact on near-term aluminum liquidity, but not actual demand. The warehouse has seen a MoM recovery in demand in May, and some of the aluminum transported via trucks is moved directly to processing plants rather than a warehouse.

Overproduction capability is limited for smelters: Overproduction will be harmful to pot line and result in current instability, leading to accidents or pot line explosion. Meanwhile, the emission and energy consumption data is real-time connected to provincial government authorities, which make overproduction difficult.

Volume from steel substitution is small: In the current high aluminum price environment, some of the color-coated aluminum construction materials have been replaced by steel products. However, overall volume is small. A company we met with noted that overall volume for this market is ~20kt per month, of which ~30% can be substituted with steel.

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/14/2026)
Chris Jiang		
Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb18.58
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$3.58
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb52.81
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb8.63
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb191.70
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb77.00
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb73.63
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb60.31
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$33.44
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$21.94
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$8.33
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb13.40
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$10.35
Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb18.04

Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb32.00
Tianshan Aluminum (002532.SZ)	O (03/19/2026)	Rmb16.61
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$10.71
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb54.34
Rachel L Zhang		
Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb11.61
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$11.41
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb6.35
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb25.60
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb14.63
China Jushi (600176.SS)	O (12/22/2020)	Rmb37.62
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$4.80
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$18.30
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$19.82
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb20.05
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb58.50
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$38.32
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.57
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb79.98
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$77.10
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb57.64
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb29.00
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$39.40
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb48.40
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$20.38
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb34.62
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$6.25
Shandong Gold Mining Co. Ltd (600547.SS)	O (04/23/2025)	Rmb33.59
Shandong Gold Mining Co. Ltd (1787.HK)	O (12/12/2024)	HK\$28.50
Shandong Nanshan Aluminium Co. (600219.SS)	O (11/30/2020)	Rmb5.46
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$57.45
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb70.69
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb10.16
Zhaojin Mining Industry (1818.HK)	O (06/21/2024)	HK\$25.30
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$160.00
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$37.22
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb33.52

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.